

TAB 31



Board of Education Report

File #: Rep-024-23/24, **Version:** 1

Capital Plan Certificates of Participation Projects

December 12, 2023

Office of the Chief Business Officer

Action Proposed:

Approve eight Capital Plan Certificates of Participation (COPs) projects, to be undertaken at one or more sites, the scope schedule and budget of which is outlined in Attachment A. The combined estimated project budget is \$406.5 million.

Authorize the Superintendent and/or his designee(s) to execute all instruments necessary, as legally permissible, to implement the projects including budget modifications.

Background:

On June 13, 2023, the Board of Education (Board) authorized a resolution approving the execution and delivery of not-to-exceed \$500 million of Certificates of Participation (COPs) and the forms of the documents necessary for the Execution and delivery of the COPs (Board Report No. 300-22/23). In August 2023, the Office of the Chief Business Officer (CBO) sold COPs generating \$423.5 million to fund critical unmet needs of our school support facilities, as well as high-priority school facility needs for which sufficient bond funding is not currently available.

Under the leadership of the Chief Business Officer, a five-year capital plan covering fiscal years 2023-24 through 2027-2028 is being developed. The Capital Plan will include individual projects over \$1 million for which sufficient bond funds are not available and/or eligible.

The Capital Plan projects identified were proposed as priority projects from various divisions. All projects were reviewed by a steering committee comprised of various District senior executives using various criteria including health and safety, regulatory compliance, alignment to the Strategic Plan, and economic impact. This work resulted in the identification of priority projects with an approximate budget of \$1.2 billion, approximately \$1 billion of which was identified for COPs proceeds. Requests to authorize the sale of additional COPs are anticipated to be proposed to the Board in 2024, 2025 and 2027.

Based on the District's financial projections, most of the capital costs associated with these projects are intended to be paid for through COPs, including the COPs approved by the Board in June. The project budgets were prepared based on the current information known, and assumptions about the project scope, site conditions, and market conditions. The project budgets will be reviewed throughout the planning, design, and construction phases as new information becomes known or unforeseen conditions arise and will be adjusted accordingly to enable the successful completion of the proposed projects.

Expected Outcomes:

The Board will approve eight Capital Plan COPs projects, allowing the District to move forward with needed capital improvements.

Board Options and Consequences:

Upon Board approval of the initial capital plan projects, staff will be authorized to proceed with the expenditure of COP funds and all other activities necessary to implement the proposed projects. If the proposed action is not approved, the District will not move forward with the projects.

Policy Implications:

This does not impact existing policy.

Budget Impact:

The 2023-24 Budget included the annual debt service for the 2023 COPs and non-capital costs for the projects. In Fiscal Year 2024, the annual debt service cost is estimated at \$11.3 million, and from FY 2025-FY 2038 the estimated cost is \$33.4 million. The debt service will be paid out of the District's General Fund. Furthermore, some projects will require additional funding to fully complete and/or implement. Sources of funds may vary. These additional costs are estimated to be approximately \$780.5 million, with the majority of funds, approximately \$653 million, expected to be funded by future COPs issuances.

A portion of the scope of five projects was temporarily front funded with operational budget with the intent to reimburse with COP proceeds once approved for specific projects. With the Board's approval of the Capital Plan COPs projects, any prior expenditures will be transferred to the proposed projects. The projects that received some front funding are:

- Sun Valley Electric Buses and Generator Purchases Project: due to the high demand for electric school buses and to account for additional time needed to fulfill an order of 180 buses.
- Sun Valley Transportation Center Electrification Project: to help meet the District's electrification goals.
- Campus Safety Systems Improvement Projects at 291 Sites (Phase 1): due to a need to address student safety as quickly as possible at priority school sites.
- Cybersecurity Improvement Program: due to an urgent need to begin implementing cybersecurity enhancements throughout the District.

Student Impact:

Projects will improve the educational opportunities for students. The cybersecurity project will reduce risks associated with students' personal information and coursework. Similarly, the campus security project will provide a safer physical environment for students. Electrification of the school bus fleet will reduce the long-term operating costs and improve air quality.

Equity Impact:

Component	Score	Score Rationale
Recognition	2	Some of the projects are influenced by equity.
Resource Prioritization	4	Implementation of many of the projects will be conducted such that underserved populations will be a priority.
Results	3	Many of the projects, including electrification of the fleet, are expected to benefit those most impacted by historic health inequities.
TOTAL	9	

Issues and Analysis:

Projects may be undertaken at multiple District sites and/or may include various phases. Exhibit A outlines the scope of work proposed to be undertaken within the initial COPs issuance of \$423.5 million. Six of the eight projects are anticipated to be completed in their entirety, and two projects include an additional phase(s) of scope requiring further funding. Additionally, the unallocated \$17 million remaining from the initial COPs issuance, may be proposed, at a future date, to be allocated to initiate a project to provide an electric transportation center to serve the Gardena region, once feasibility studies are complete.

Staff expects to return to the Board at a later date for authorization to sell additional COPs to fund projects at other District sites, additional project phases, and/or new Capital Plan COPs projects.

The eight initial capital plan projects, once approved by the Board of Education, will be incorporated into the 5-year capital plan currently in development.

Attachments:

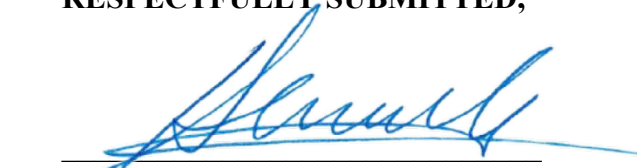
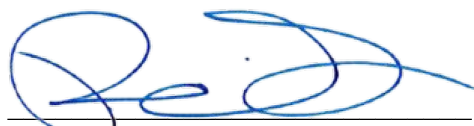
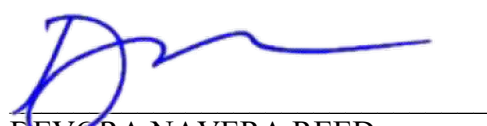
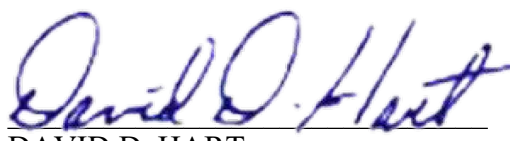
Attachment A - Capital Plan COPs Projects - scope, schedule, and budget

Informatives:

Not applicable

Submitted:

11/30/2023

RESPECTFULLY SUBMITTED,
ALBERTO M. CARVALHO
Superintendent**APPROVED BY:**
PEDRO SALCIDO
Deputy Superintendent, Business Services and Operations**REVIEWED BY:**
DEVORA NAVERA REED
General Counsel**APPROVED & PRESENTED BY:**
DAVID D. HART
Chief Business Officer

☒ Approved as to form.

REVIEWED BY:
NOLBERTO DELGADILLO
Deputy Chief Business Officer, Finance

☒ Approved as to budget impact statement.

Exhibit A: Capital Plan COPs Projects: Scope, Schedule, and Budget

1. Sun Valley Transportation Center Electrification Project

Project Scope: The Sun Valley Transportation Center Electrification project consists of:

- *Charging Stations:* The installation of approximately 200 electric vehicle (EV) charging stations for school buses.
- *Solar and Battery Storage:* Provide a new solar array canopy with battery storage.
- *Bus Wash Building Replacement:* Replace the existing bus wash with a new prefabricated bus wash building.
- *Paving:* Provide new asphalt overlay throughout the site with new parking striping. Provide new asphalt paving in the areas of trenching for underground conduit.
- *Perimeter Barrier Wall:* Provide a new concrete perimeter barrier wall around the site with new security gates at the vehicle entry locations.
- *Site Lighting & Security:* Provide new site lighting poles and provide new lighting under the solar canopy. Provide new security cameras attached to the solar array canopy.
- *Landscape:* Provide a new landscape buffer on Sun Valley Magnet School property, adjacent to the new pre-cast concrete wall for noise reduction and improved aesthetics.
- *Temporary Bus Parking:* Provide temporary offsite bus parking for the duration of construction until the site is ready.

Project Budget: \$80,120,640

Project Schedule: Construction is anticipated to begin in Q4-2025 and is anticipated to be completed in Q4- 2026.

Exhibit A: Capital Plan COPs Projects: Scope, Schedule, and Budget

2. Sun Valley Electric Buses and Generator Purchases Project

Project Scope: Located at 11247 Sherman Way, in the community of Sun Valley, the Sun Valley Transportation Center is one of three LAUSD transportation centers located in the San Fernando Valley serving students in the surrounding communities. The buses currently residing there are equipped with internal combustion engines powered with CNG and propane fuels. The Sun Valley Transportation Center will be the first bus yard to have all its school buses transition to electric-powered.

The project will replace all 180 school buses based at Sun Valley Transportation Center with zero-emissions electric school buses (ESBs). The ESBs will be equipped with the latest safety features, including Wi-Fi and a Global Positioning System (GPS), and will have a capacity for 42 or 75 passengers (depending on the model) and an operating range of approximately 125 miles with a full charge. Studies have shown that electric buses are more fuel efficient and significantly reduce the cost of repairs and maintenance. This can result in overall savings of up to \$1.8 million per year. The new buses are anticipated to be delivered in 2025.

As part of the project, 25 propane-powered generators will be purchased to support ESB charging until the construction and installation of permanent charging infrastructure is completed (anticipated approximately two years after the delivery of the ESBs). The generator, situated on a trailer, can fully charge up to eight buses at one time in approximately six to eight hours. The chargers can be ordered and purchased, as needed, to coincide with the projected delivery of the ESBs in 2025. These chargers will also be part of the energy contingency plan, in the event there is a widespread power outage.

This project is critical to ensuring that the new ESBs will be delivered in time to replace CNG school buses with tanks expiring in April 2025. These buses must be removed from service per State and Federal regulations upon expiration. Sufficient lead time is needed for manufacturers to build the buses and for the California Highway Patrol (CHP) to inspect the buses which may take three months after the delivery of the buses.

Project Budget: \$88,700,000

Project Schedule: Purchases began in Q2-2023 and are anticipated to be completed in Q4-2025.

Exhibit A: Capital Plan COPs Projects: Scope, Schedule, and Budget

3. Enrollment Modernization Project

Project Scope: Includes creation of an efficient process for families to apply, register and enroll their children in District schools by eliminating many of the forms parents currently must submit, transitioning from a manual, paper-based process to an automated one. This initiative will be accomplished via multiple projects in coordination with various business owners and stakeholders. One of the projects under this initiative is:

- Configure online enrollment system to be mobile friendly.
- Implement changes identified in Board Resolution (Res-044-18/19) "Everyone Counts", which requests that additional ethnicities be added to District applications to further disaggregate data for Asian, Pacific Islander, and other ethnic groups.
- Enhancements to applications including, but not limited to, enrollment applications, MiSiS, SAP, Focus reports, data warehouse (IODS).
- Develop new reports and dashboards for internal use as needed.
- Develop new reports for external Federal and State reporting as needed.

Project Budget: \$2,000,000

Project Schedule: Implementation is anticipated to begin in Q1-2024 and be completed in Q4-2024.

Exhibit A: Capital Plan COPs Projects: Scope, Schedule, and Budget

4. Student Information Systems Upgrades Project

Project Scope: Includes updates to the District's student information system, including integration with the Bell Schedule, Household Hub (a system of record for parent information), and Early Education Student Information System. The scope may include, but is not limited to:

- *Household Hub Integration:* Integrate the household hub with all District applications that use parent information. This includes the Parent Portal, Early Ed Student Information System (EESIS), Unified Enrollment, Cafeteria Management Services (CMS), etc.

This project will also support non-application needs such as reducing mailings (e.g., a single magnet flier can be sent to a household with multiple District students), providing wrap-around services for families (e.g., chronic absenteeism, mental health, etc.), and data analysis.

Furthermore, the project will address creation of a common path for updating parent information and sharing the household hub information. Options for cleaning existing parent information and sharing the cleansed data across the applications will also be explored.

- *My Integrated Student Information System (MiSiS) with Bell Schedule:* Optimize the management of student schedules, school calendars, and improve overall school operations. By establishing a seamless connection between MiSiS and the Bell Schedule system, schools can enhance efficiency, accuracy, and communication related to student attendance, class timetables, and daily routines.
- *Early Education Student Information System Migration to MiSiS:* Integrate preschool student information and early information into MiSiS. This will eliminate achievement gaps before the third grade and provide instructional support by allowing educators to identify issues and provide educational interventions.

Project Budget: \$1,000,000

Project Schedule: Implementation is anticipated to begin in Q1-2024 and be completed in Q4-2024.

Exhibit A: Capital Plan COPs Projects: Scope, Schedule, and Budget

5. Student Support Applications Modernization Project

Project Scope: Technology refresh and additional functionality for the District's Student support applications, including, but not limited to the Academic Monitoring System, LAUSD Parent Portal/Mobile App upgrade, Special Education Data Management, Student Medical Services Management System, and Universal ID for students. The scope may include, but is not limited to:

- *Academic Monitoring System (AMS):* Provide ability to disaggregate student data such as Low-Income, Emergent Bilingual, Foster Youth, African American, and Students with Disabilities, and allow for real-time assessment and an instant collection of results.
- *LAUSD Parent Portal/Mobile App:* Provide additional functionality to enhance family engagement and communication around student progress and achievement. Leverage data analytics and artificial intelligence to analyze the student's progress and engage families and students with personalized recommendations and support.
- *Special Education Data Management:* Implement a web-based software system to be utilized Districtwide for the management and tracking of online Individualized Education Programs (IEPs), Individualized Family Services Plan (IFSP), Individual Service Plan (ISP), Section 504 Plans, Transition Services, RSP (Resource Program) Substitute, Due Process, Informal Dispute Resolution, State CALPADS reporting, District Validation Review, Extended School Year, Special Education Student Transportation, IEP Translation, and tracking of related services provided to students during the course of their education.
- *Student Medical Services Management System:* Implement a web-based system to be utilized Districtwide for the management and tracking of student treatment plan, protocols, medication management, immunization compliance, nursing services, health office visits, audiological evaluation, chronic conditions, health alerts, vision/audio/dental/ speech/sports physical screenings, and vital monitoring.
- *Universal ID for Students:* Provide a singular ID for students to access services such as transportation, food services, library, after school programs, and school events. This will streamline many of the processes that will greatly benefit students.

Project Budget: \$11,400,000

Project Schedule: Implementation is anticipated to begin in Q1-2024 and be completed in Q4-2024.

Exhibit A: Capital Plan COPs Projects: Scope, Schedule, and Budget

6. Student Data, Analytics, Reporting and Dashboards Project

Project Scope: Modernization of the District's student data, analytics, reporting, and dashboards systems. With a continued increase in the number of tools students use to learn, there has been a significant increase in the volume of data available to help measure and inform student growth and achievement. This project puts in place / modernizes tools to understand this data. The scope may include, but is not limited to, implementation of a Cloud-based, fully managed solution for student analytics. New features / functionalities include:

- Learning analytics
- Guide resources
- Supports for administrators, schools, staff, students, and parents
- Data drill-down by region, school, and student group level, and support the learning management needs
- Integration of curriculum, learning, student performance, student progress and related information
- Suitable metrics and measurements
- Notifications for exceptions
- Incorporation of suitable views in the current workbench and views provided to schools, including those for principals, teachers and counselors, and also aggregated views for Regions and offices, to effectively monitor and manage student progress, including English Learners, students with disabilities, students experiencing homelessness, foster youth and other focus groups

Project Budget: \$4,763,040

Project Schedule: Implementation is anticipated to begin in Q1-2024 and be completed in Q3-2024.

Exhibit A: Capital Plan COPs Projects: Scope, Schedule, and Budget

7. Campus Safety Systems Improvement Projects at 291 Sites (Phase 1)

Project Scope: Design and install new video camera and intrusion alarm systems for 291 school sites ([site list](#)). The scope may include, but is not limited to the design and installation of video camera systems for each individual campus, based on current design standards that are specified in technical design guidelines:

- Campus Perimeter
- Entrance (Main, Parking)
- Rear/Service Entrance/Delivery
- Exterior Doors
- Parking Structure
- Bus Loading/Unloading Zones
- Large Assembly Areas
- Stairwells
- Corridors
- Valuable Resources (Storage)
- Other site-specific critical areas

Each project will include approximately 20 camera locations at smaller schools and 30 camera locations at larger schools, with each consisting of three to four cameras, or a total of 60 to 120 cameras per school site. The “large and small” school designation will be determined by student enrollment, number of buildings, and campus layout.

The new system will include remote monitoring capabilities through LASPD’s Operations Center. In total, 719 sites have been identified for a project, and additional funding is anticipated to be included in future COP’s issuance.

<u>Project Budget (Proposed Phase 1):</u>	\$146,000,000
Project Budget (Unfunded Future Phase(s)):	<u>\$210,000,000</u>
Total Project Budget:	\$356,000,000

Project Schedule: Construction is anticipated to begin in Q1-2024 and be completed in Q1-2026.

Exhibit A: Capital Plan COPs Projects: Scope, Schedule, and Budget

8. Cybersecurity Improvement Program (Phase 1)

Project Scope: Delivery of Districtwide cybersecurity enhancements that address vulnerabilities identified in the 2021 Information Security Audit as well as recommendations from the Cybersecurity Task Force, which was convened in the wake of the September 2022 cyber-attack. The Cybersecurity Improvement Program includes augmentation of people, processes, and technology tools to identify and mitigate the risk of future cyber-attacks and disruption to District operations, requiring capital and reoccurring operational expenditures. The capitalizable scope may include, but is not limited to:

- *Enhancing Network Security Models, including Identity Management to Control Account Access and Manage Digital Identities:* Implement a centralized system to manage the lifecycle of user accounts required to access District applications, including access and authorization management. This effort will modernize the current decentralized systems for managing user account passwords and workflow-based authorizations.
- *Cloud Migration of Core Assets and Applications:* Migrate on-site core applications, including the District's enterprise resource planning tool (SAP), Student Information System (MiSiS), Special Education System (Welligent), Food Services, Transportation, and others, to the Cloud to achieve a better security posture, reduce down-time, and enhance systems' performance.
- *Redesign and Hardening of Network Architecture and Infrastructure:* Install and implement modern Data Center firewalls and segment critical applications to inspect and block potentially malicious traffic and insider threats.
- *Vulnerability Assessment and Threat Management for Protection and Detection:* Configure security tools for recurring enterprise-level scans of critical systems and applications to support identification, classification, prioritization, remediation, and mitigation of vulnerabilities.
- *Security Operations Center:* Centralize application and system security alerts that may be indicators of compromise, or malicious activities. Implementation of an Artificial Intelligence platform that supports a 24x7x365 security operations center to monitor security alerts and take action as deemed necessary.

The Cybersecurity Improvement Program will be executed in multiple phases, with the first phase focused on the highest priority actions to elevate the District's security posture per Audit and Task Force findings.

<u>Project Budget (Phase 1):</u>	\$ 72,500,000
Project Budget (Unfunded Future Phase(s)):	<u>\$124,259,500</u>
Total Capital Project Budget:	\$196,759,500

Project Schedule: Implementation began in Q2-2023 and is anticipated to be completed in Q4-2024.